> any combined effort to advise upon the choice of individual high-grade investments and upon the course of bond *prices* is fundamentally illogical and confusing. Much as the investor would like to be able to buy at just the right time and to sell out when prices are about to fall, experience shows that he is not likely to be brilliantly successful in such efforts and that by injecting the trading element into his investment operations he will . . . inevitably shift his interest into speculative directions. (Chap. 21)

7. *Despite our best efforts, defaults will creep into our portfolios, whether due to failings in credit analysis or bad luck.* For the incremental yield gained from taking risks to regularly exceed the losses incurred as a result of defaults, individual holdings must be small enough so that a single default won't dissipate a large amount of the portfolio's capital. We have always thought of our approach to risk as being akin to that of an insurance company. In order for the actuarial process to work, the risk must be spread over many small holdings and the expected return given a chance to prove out. Thus you should not invest in high yield bonds unless your portfolio can be thoroughly diversified.

> The [individual] investor cannot prudently turn himself into an insurance company and incur risks of losing his principal in exchange for annual premiums in the form of extra-large interest coupons. One objection to such a policy is that sound insurance practice requires a very wide distribution of risk, in order to minimize the influence of luck and to allow maximum play to the law of probability. The investor may endeavor to attain this end by diversifying his holdings, but as a practical matter, he cannot approach the division of risk attained by an insurance company. (Chap. 7)

To wrap up the subject of investment approach, we feel the successful assumption of credit risk in the fixed-income universe depends on the successful assessment of the company's future ability